borrowing by corporates by imposing an upper bound on the total debt servicing cost, technically called ‘all-in-cost’. Considering the need to augment inflows, we relaxed the upper bound of the all-in-cost for external commercial borrowing so as to make it easier for corporates to negotiate external loans.

For a long time, Reserve Bank regulations allowed corporates to contract foreign borrowing only to meet forex expenditure, but over time, we relaxed this requirement, making it possible for them to use foreign loans even to meet rupee expenditure. Corporates were also allowed to keep their forex borrowing meant for rupee expenditure outside the country until they actually needed to spend it at home. To relieve the pressure on the rupee, we now mandated that all ECB raised for rupee expenditure should be brought into the country immediately even if their project was not yet ready to absorb the loan proceeds.

India provides two main facilities for NRIs to invest their savings in the country: non-resident external (NRE) rupee accounts where the exchange rate risk is borne by the NRI depositor; and foreign currency non-resident (FCNR) accounts where the exchange rate risk is borne by the deposit-accepting bank. The Reserve Bank regulated the maximum interest rate that banks can offer on NRI deposits mainly out of a concern that if there was no such restraint, banks would race to the bottom by offering ever higher interest rates to NRIs which would aggravate our collective vulnerability. Given the pressure to augment capital inflows, we withdrew this ceiling on the interest rate on rupee-denominated NRI accounts, thereby allowing freedom to banks to set the interest rate themselves; we continued, however, with an interest rate cap on FCNR accounts but raised the cap.

One of the big problems to contend with in exchange rate defence is speculative pressures as they can be both self-fulfilling and self-reinforcing. For example, in a scenario where the rupee is sliding continuously, exporters would defer bringing in the export receipts, and importers would buy forward, and both those actions, what markets call ‘leads and lags’, would exacerbate the run on the currency. One of our aims, therefore, was to restrict the options open to the market participants, including banks, to